



Investor Presentation October 2013



EARTHMAX
RADIAL OTR TYRES



AGRIMAX
RADIAL TRACTOR TYRES



MULTIMAX
RADIAL MPT TYRES

Safe Harbor



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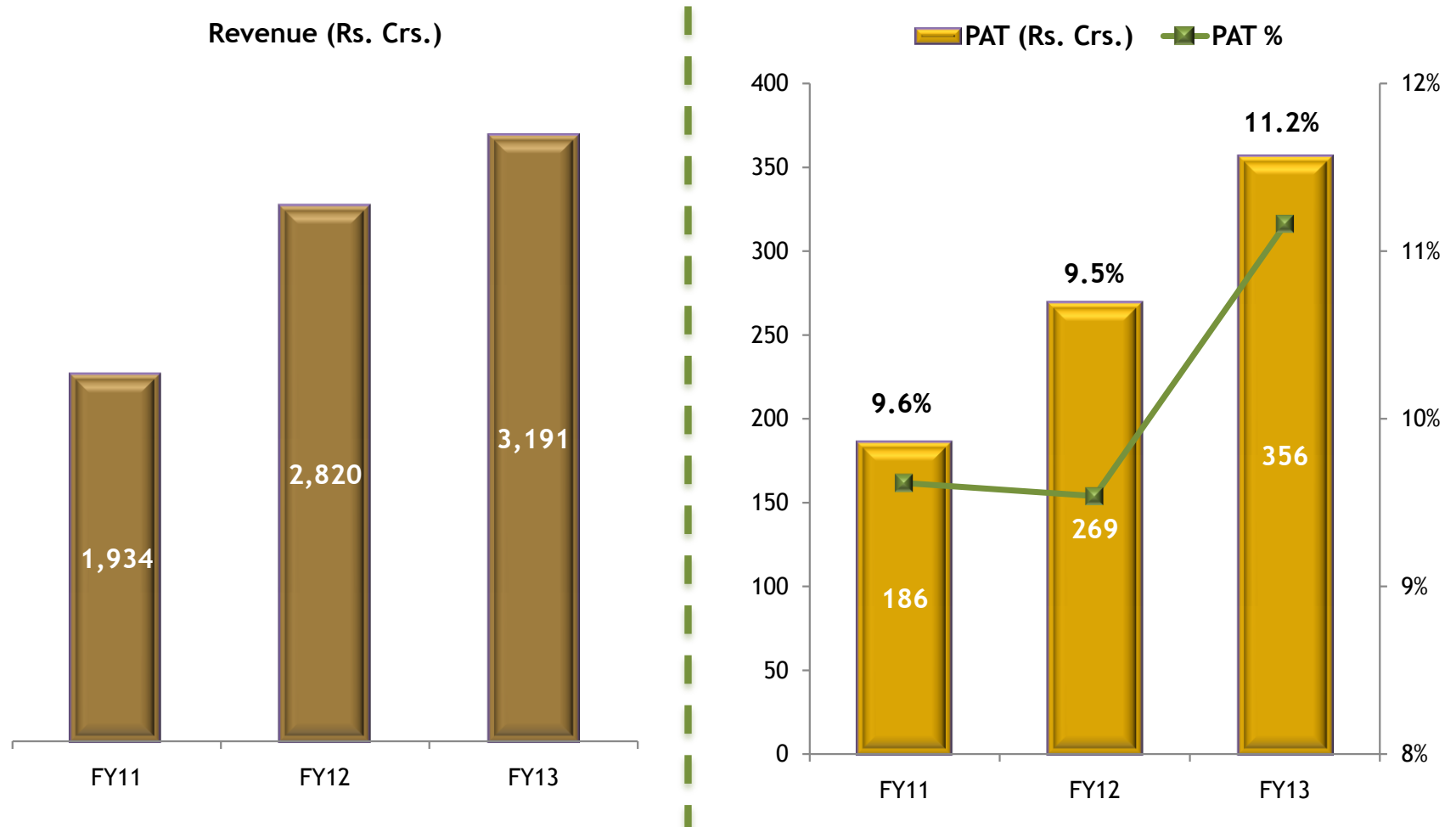
Company Overview



Balkrishna Industries...

- ◉ India's leading exporter of "Off-Highway Tires"
- ◉ Widest and comprehensive product portfolio of over 2000 SKUs
- ◉ 166,000 MTPA current achievable production capacity
 - Achievable capacity to be further enhanced to 276,000 MT by FY 2015
- ◉ Market presence in more than 120 countries
 - Europe, America, Asia Pacific, Middle-East, ANZ etc
- ◉ Exponential Revenue & Earning growth

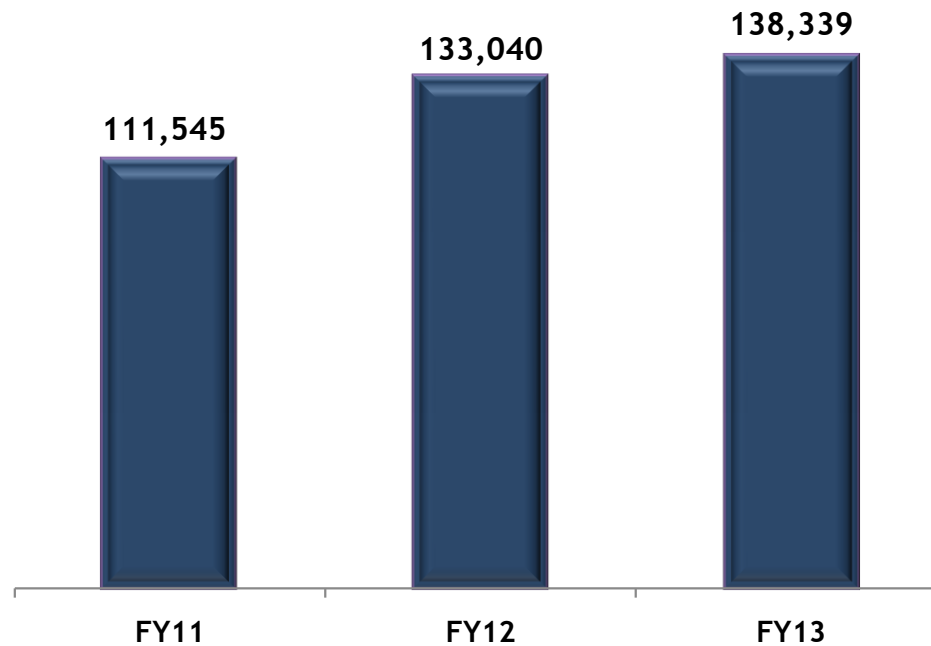
Revenue & Profit Growth



Volume Trend & Guidance



■ Tonnage Sold (MT)



Guidance for FY 14 : 145,000-150,000 MT

Under the able leadership of ...

Mr. Arvind Poddar - Chairman & Managing Director

- Promoter of the Company
- In last 6 years, Company grew exponentially with around 30% CAGR
- Commissioning of new plant at Bhuj, Gujarat with capacity creation of over 70%
- Moving towards USD 1 billion revenue by 2015

The Core Team Executing the Vision

Mr. Rajiv Poddar

Executive Director

Mr. B K Bansal

Director - Finance

Mr. D M Vaidya

Director - Technical

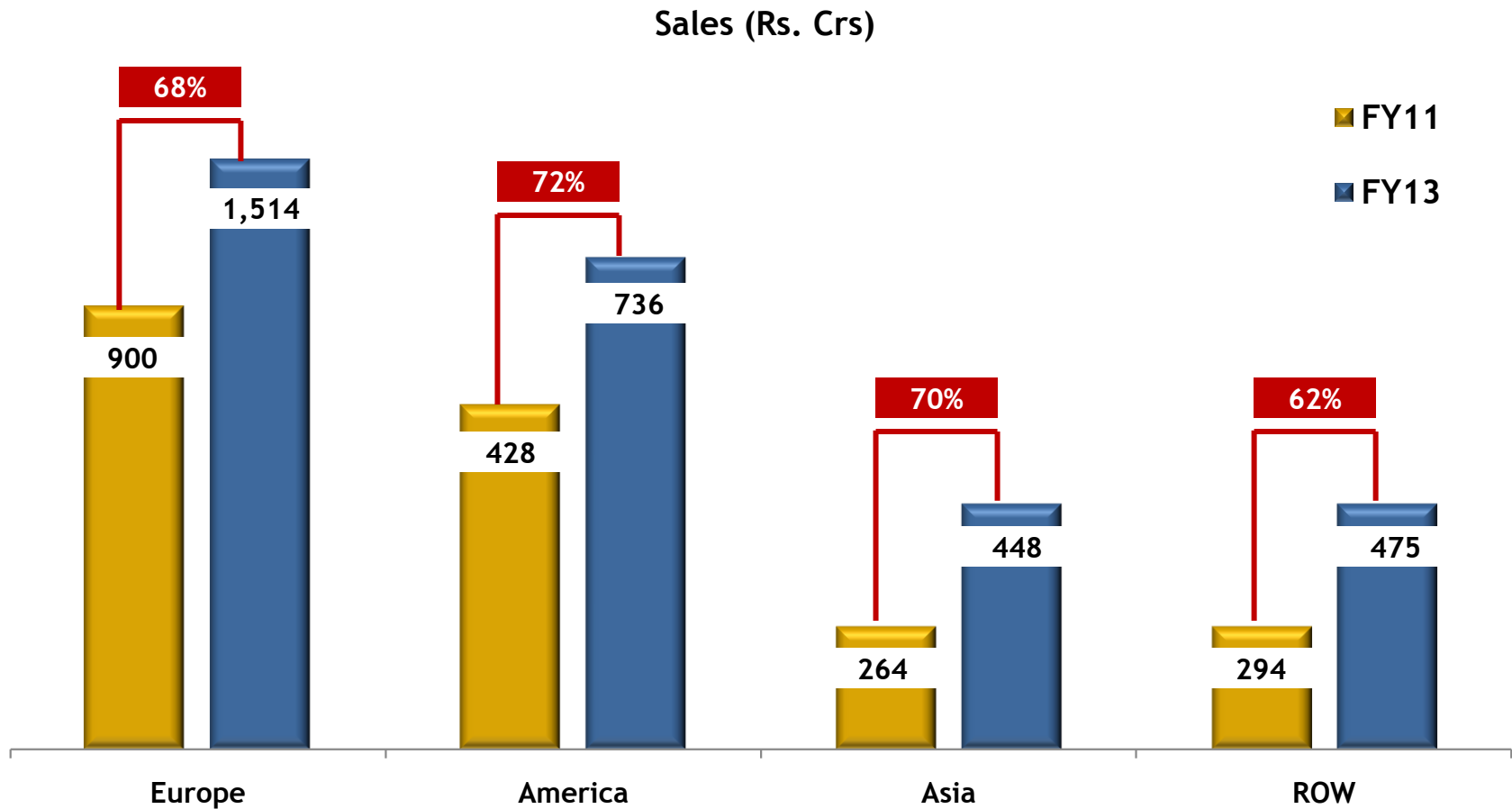
Mr. M S Bajaj

Sr. V P - Commercial

Global Markets - Local Production

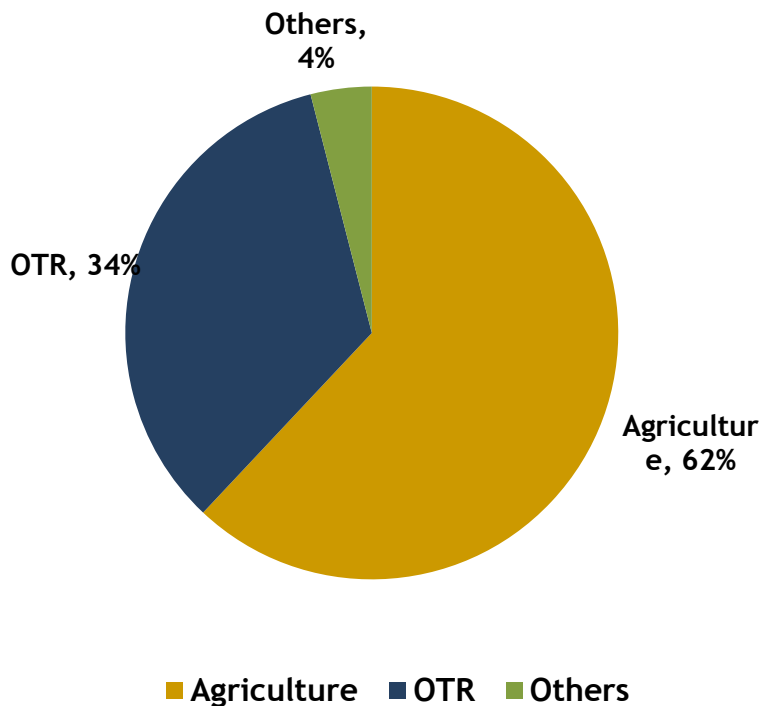


Presence in over 120 countries...



One-stop shop for off highway tires

Sales Volume (FY13)



Agriculture

- Tractors, Trailers, Farm equipments
- Tractor Radial Tires under brand “Agrimax”

OTR

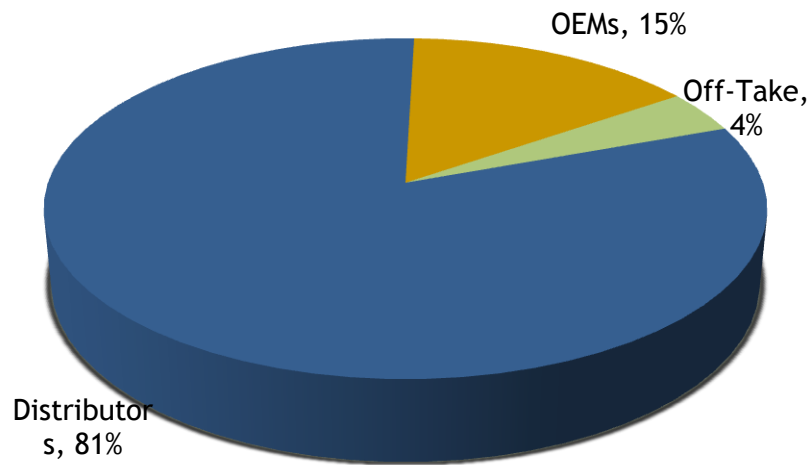
- Industrial, Construction & Earth Mover tires
- Steel Radial OTR tire under brand “Earthmax”

Others

- Sports, Utility vehicles such as Golf-cart, Lawn & Garden tires, All Terrain Vehicles

Presence in various sales channels

Sales Volume Breakup (FY 13)



Distributors

- Caters to replacement market
- Strong global network
 - Well diversified global distributor network
- Expanding market reach
 - Increasing penetration of existing distributors
 - Adding new distributors

Suppliers to leading OEMs



JOHN DEERE

BOMAG
FAYAT GROUP



Manufacturing Facilities

Existing

Tire manufacturing facility

- Aurangabad, Maharashtra
- Bhiwadi, Rajasthan
- Chopanki, Rajasthan
- Bhuj, Gujarat

Mould Manufacturing Unit

- Dombivali, Maharashtra

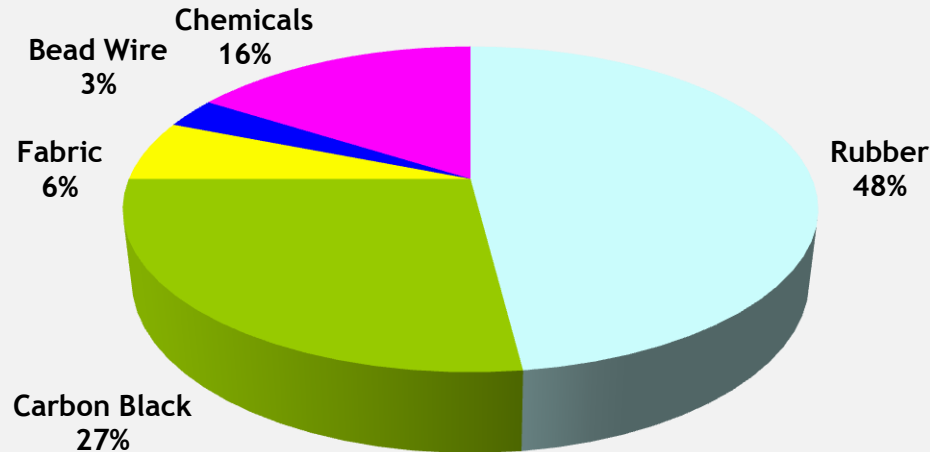
On-going Expansion at Bhuj

- Ramp up to take place in a phased manner as below
 - FY 13 - 10,000 MT
 - FY 14 - 60,000 MT
 - FY 15 - 120,000 MT
- Rs.2,041 Crs incurred till Sept 2013
- Rs. 850 Crs Capitalized till Sept 2013

Post expansion : Achievable capacity 276,000 MT

Key Raw materials

Raw material composition



In Volume

- **Rubber sourced from**
 - India, Indonesia, Malaysia & Thailand - Major Rubber Producing countries
- **Closer to Rubber producing countries gives edge over global peers**
 - Lower logistic expenses
- **Flexibility in sourcing from India or Import**
 - No impact of Import Duty being major exporter
- **Other materials - Synthetic Rubber, Carbon Black, Fabric & Chemicals**
 - Derivatives of Crude Oil

Key Competitive Advantages



Key Competitive Advantages

Low Operating Cost ... v/s ... Global Peers

- Labor intensive business, however India manufacturing leads to 1/5th labor cost compared to global peers
- Lower selling & distributing expenses due to sales by **distributor network**

Faster Time to Market Product Roll-out

- Strong R&D Team for product development
- In-house mould facility leads to faster conversion

Flexible Plant Operation

- Maximize utilization of entire basket of more than 2000 SKUs
- Ensures timely execution of customer's order

Inter- Changeability of production amongst various plants

- Helps production planning to achieve optimum output
- Facilitates container dispatch of varied tires

The Radial Advantage

- Largest manufacturer of full range of Radial Tractor Tires located in a low-cost region
- Globally few manufacturers with concentration in USA & Europe
- Addition of capacity makes it a preferred global partner for radial tires

Growth Strategies



Roadmap for future growth

Sustainable Business Growth



1

Sustain market share

- Increase coverage through distributors

2

Emerging market growth

- High growth potential from emerging markets viz., Russia, CIS & India

3

New Product Introduction

- All steel radial mining tyres
- Special Puncture proof defense tyres
- Solid Tyres

4

Improvement in Operating Efficiency

- Focus on cost management

5

Increase exposure with OEMs

- Expanding OEM Base

6

Increase in production capability

- Expansion of production capacities



Future Growth Strategies

Demand Drivers

- ⦿ Improving U.S. economy
- ⦿ Growing pace of activity in emerging markets
- ⦿ Rising demand for OTR tyres
- ⦿ Increasing brand acceptance among OEMs

Financial Highlights



Standalone - Tire Business : Financial Highlights - Q2 FY2014



Rs.Crs	Q2 FY14	Q2 FY13	YoY %	Q1 FY14	H1 FY14	H1 FY13	YoY %
Sales (MT)	33,145	37,152		34,941	68,086	74,153	
Net Sales	830	881		807	1,638	1,701	
Other Operating Income	9	4		8	18	6	
Revenue	840	885	-5%	816	1,655	1,707	-3%
Raw Material	401	558		415	816	1,041	
(Increase) / Decrease in Stock	(1)	(52)		12	11	(64)	
Employee Expenses	30	25		32	62	50	
Power & Fuel	28	33		28	55	63	
Net Exchange Difference Loss/(Gain)	32	8		-16	16	24	
Other Expenses	147	129		151	298	250	
EBITDA	202	186	9.1%	195	397	343	16%
<i>EBITDA Margin</i>	24.1%	21.0%		23.9%	24.0%	20.1%	
Other Income	4	3		1	6	3	
Interest & Finance Charges	5	6		4	9	12	
Net (Gain)/Loss on Foreign Currency transactions & translation	1	(26)		1	2	(6)	
Depreciation	39	25		35	75	48	
PBT	162	183		155	317	291	
Tax	54	59		52	106	94	
PAT	108	124	-12.7%	102	210	197	7%
<i>PAT Margin</i>	12.9%	14.0%		12.6%	12.7%	11.5%	

Previous period figures have been regrouped/reclassified as per revised Schedule VI, wherever necessary

Standalone - Tire Business : Financial Highlights - Q2 FY2014



Rs. Crs.	Sep-13	Mar-13	Rs. Crs.	Sep-13	Mar-13
Shareholder's Fund			Non-current assets		
Share capital	19	19	Fixed assets	2,611	2,223
Reserves & Surplus	1,610	1,400	Long-term loans and advances	286	279
Non-current liabilities			Non-current investments	33	33
Long term borrowings	1,730	1,504	Current assets		
Deferred Tax Liabilities (net)	113	100	Current Investments	217	-
Other non-current liabilities	93	94	Inventories	562	433
Current liabilities			Trade receivables	447	504
Short term borrowings	549	559	Cash and bank balances	59	266
Trade Payables	319	241	Short-term loans and advances	296	244
Other current liabilities	79	71	Other current assets	2	6
Total Liabilities	4,512	3,989	Total Assets	4,512	3,989

Previous period figures have been regrouped/reclassified as per revised Schedule VI, wherever necessary

For further information, please contact:

Company :

Investor Relations Advisors :

Balkrishna Industries Ltd.
Mr. B K Bansal, Director - Finance
bkbansal@bkt-tires.com

www.bkt-tires.com

Strategic Growth Advisors Pvt. Ltd.
Ms. Swapnil Misra / Mr. Gaurang Vasani
mswapnil@sgapl.net / vgaurang@sgapl.net

www.sgapl.net